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Bloomberg Automated Summary

Space Exploration Technologies Corp Earnings Call View on the Bloomberg Terminal

10/20/26

Guidance

- SpaceX projects annual recurring revenue (ARR) between $500 billion and $1 trillion by the end of 2027.
- Total company revenues for Q1 2027 are guided to be in the range of $33 billion to $37 billion.
- Management expects 10 gigawatts of incremental compute online in 2027, totaling 13 gigawatts, with a plan for 20 gigawatts of incremental power/cooling infrastructure.
- Q4 capital expenditures are projected to be $35 billion to $40 billion, with nameplate compute reaching 2.5 to 3 gigawatts by quarter-end.
- Cloud services ARR is on track for $100 billion by year-end, with new compute deployments generating less than a year payback at current pricing above $30-$50 per watt.

Margin Story

- Connectivity gross profits doubled year-over-year, reaching 55% gross margins, which included a 3% one-time benefit from tariff refunds.
- Excluding these one-time benefits, Connectivity's adjusted EBITDA margins expanded approximately 2% year-over-year.
- The Super Intelligence (SI) segment significantly improved its profitability by monetizing new capacity and achieving operating leverage.
- SI segment adjusted EBITDA reached $5 billion, primarily driven by higher margin cloud service agreements.
- Total company gross margins in Q4 are projected to be consistent with Q2, influenced by one-time benefits and customer mix from Q3.

AI Strategy

- SpaceX is experiencing an inflection moment in super intelligence (SI), with SI segment revenue reaching $7.6 billion in Q3, up $6.7 billion year-over-year, and targeting $100 billion in cloud services ARR by end of 2026.
- The company is rapidly expanding compute capacity, expecting to bring 200,000 GB300s online monthly, reaching 2.5-3 gigawatts of nameplate compute by Q4 2026, and aiming for 13 gigawatts total by end of 2027.
- SpaceX identifies power, cooling, and infrastructure as the primary constraints for super intelligence deployment, not chips, and plans for an incremental 20 gigawatts of power cooling infrastructure next year.
- Grok Bot, an agentic assistant, launched in August, has seen rapid adoption with 800,000 paid weekly users and will be deployed at scale for enterprise customers, potentially using most SI compute.

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- The company is developing Terrafab to produce a terawatt of super intelligence chips annually, targeting volume production by Q3 2028, and sees a clear path to several hundred billion in annual connectivity revenue, partly driven by AI demand.

Subscriptions

- Starlink reached just under 14 million global broadband consumer subscribers, adding 1.6 million in Q3 alone.
- This consumer subscriber count excludes additional hundreds of thousands of enterprise and aviation customers.
- Starlink consumer average revenue per user (ARPU) increased 5% sequentially to $69 per month.
- Starlink Mobile surpassed 22 million monthly users by quarter-end, representing a 37% quarter-over-quarter increase.
- Grok Bot, launched in August, had 800,000 paid weekly users earlier this month, more than doubling over the last month.

Streaming

- The earnings presentation was live-streamed on X.
- The Q&A session would include live questions from equity analysts and investors via a dedicated earnings Q&A platform.

Strategic Partnerships

- SpaceX has secured new human spaceflight missions on Dragon through 2028 and a Starlink communications contract on NASA's Artemis III mission.
- The company signed 18 new National Security Space Launch missions and a contract to deliver payload to the lunar surface with Starship.
- Starlink is contracted for approximately 12,000 planes, representing almost a quarter of available aircraft, and has agreements with three of the four major U.S. carriers and a growing list of international airlines.
- Lufthansa, Swiss, Copa Airlines, Korean Air, Austrian Airlines, and Asiana Airlines have all flown their first Starlink-equipped aircraft.
- Starlink continues to expand international partnerships, turning on service with new carriers in Uganda, the Democratic Republic of Congo, Kazakhstan, and Costa Rica during Q3.
- SpaceX announced an agreement to acquire a portfolio of low-band spectrum, which will enable Starlink Mobile to become a major mobile carrier in the U.S.
- Special committees of SpaceX and Tesla are discussing a potential merger at the request of shareholders, though no agreement has been reached and shareholder approval is a high hurdle.
- The company is exploring partnerships across the value chain, including vendor and customer sides, to fund its significant growth in compute capacity.
- SpaceX is working with ASML and other suppliers to accelerate equipment deliveries for its Terrafab chip production facility.

Competition

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- SpaceX holds nearly 90% of the global mass-to-orbit market share, significantly exceeding China (6%) and the rest of the world combined (4%).
- The company can deploy power, cooling, and infrastructure for super intelligence vastly faster than anyone else, potentially surpassing all others combined.
- SpaceX's advanced casting capability, developed for rocket engines, allows it to bring power online 12 to 18 months faster than turbine suppliers, creating a difficult-to-replicate advantage.
- Starlink Mobile aims to compete with U.S. incumbents by leveraging S-band and low-band spectrum, along with existing Starlink installations, to provide 5G-like connectivity.
- The company faces relentless demand for compute from hyperscalers and dozens of smaller companies, indicating a persistent shortage in the market.

Market Share

- SpaceX holds almost 90% of the global mass-to-orbit market share, with China at roughly 6% and the rest of the world at about 4%.
- The company remains the leading launch provider, flying the vast majority of payload mass to orbit.

Cloud Strategy

- The Super Intelligence (SI) segment's revenue increased substantially to $7.6 billion, up $5 billion quarter-over-quarter and $6.7 billion year-over-year, primarily powered by the ramp of cloud services agreements.
- The segment's profitability improved meaningfully by monetizing newly deployed capacity and delivering operating leverage, with SI solutions and infrastructure revenues growing 192% sequentially (excluding Cursor acquisition) due to new cloud services agreements.
- The company ended Q3 with 1.7 gigawatts of nameplate compute capacity, expecting to reach nearly 2.2 gigawatts by the end of October and 2.5 to 3 gigawatts by the end of Q4, with a goal of 13 gigawatts total by the end of 2027.
- There is extraordinary market demand for compute, with new deployments generating a payback of less than a year at current pricing ($30 to $50 per watt range), and the company aims to split compute allocation roughly 50/50 between internal use and external rental.
- The company prefers short-term contracts for compute rental, believing the value of compute per watt will increase over time due to AI software improvements, and faces relentless demand from hyperscalers and smaller companies, making it difficult to even offload inference compute.

Capital Allocation

- Total company capital expenditures in Q3 2026 were $19.6 billion, primarily supporting SI compute build-out, Starship infrastructure, and satellite production.
- For Q4 2026, capital expenditures are projected to increase to $35 billion to $40 billion due to additional compute capacity coming online.
- The company is aggressively investing in SI compute, Starship development, and next-generation Starlink constellations, viewing these as demand-led investments with high

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long-term returns.

- Management highlighted a focus on capital efficiency and strong returns on invested capital across all projects.

M&A

- SpaceX acquired Cursor mid-quarter, contributing $608 million to SI solutions and infrastructure revenues.
- The Cursor acquisition led to a 50% quarter-over-quarter growth in Grok enterprise customers with over $1 million run rate revenue.
- The Cursor acquisition involved $23 billion in stock-based compensation for retaining key employees and replacing equity awards, vesting over three years.
- Special committees for both SpaceX and Tesla are discussing a potential merger, though no agreement has been reached, and it requires a 50% Tesla shareholder vote.
- A potential Tesla-SpaceX merger could benefit from cooperation on super intelligence software, chip design, Terrafab, robotics, and connectivity.

Labor

- Management noted that $23 billion of the $60 billion equity value for the Cursor acquisition was attributed to retaining key employees and replacing outstanding equity awards, including revesting agreements for key executives.

Macro Environment

- Management did not specifically address the broader macro environment, including interest rates, inflation, or general consumer spending trends.
- Discussions of demand were specific to SpaceX's products and services, such as Starlink bandwidth and super intelligence compute.
- Starlink consumer subscribers reached 13.6 million, with 1.6 million added in Q3, driven by growth in more developed markets.
- Starlink consumer average revenue per user (ARPU) increased 5% sequentially to $69 per month, benefiting from a favorable customer mix.

Supply Chain

- SpaceX aims for volume chip production at Terrafab by Q3 2028, with suppliers like ASML accelerating equipment deliveries.
- A critical supply chain bottleneck for power infrastructure is the 12 to 18-month delay in delivering blades and vanes for turbines.
- SpaceX leverages its advanced rocket engine casting capability to produce turbine blades and vanes, accelerating power online by 12-18 months.
- Management is proactively planning capital for semiconductor supply procurement to match near-term customer demand for compute.
- They are exploring diverse power sources, including solar, wind, and modular inference compute, to overcome infrastructure limitations.

Pricing

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- New compute deployments are generating a payback of less than a year at current pricing, which is tracking slightly above the high end of the $30 to $50 per watt range.
- The value of compute per watt is expected to increase over time, not decrease, leading to short-term contracts renewing at higher dollars per watt.

Product Development

- Starship Flight 14 achieved orbit and deployed Starlink V3 satellites; Flight 15 is expected next month, attempting full recovery of both booster and ship.
- Starship launches are projected to increase dramatically, flying weekly in H1 2027 and potentially twice weekly by end of 2027; on-orbit refueling is planned for early 2027.
- The Louisiana Spaceport is under development, with an internal goal for the first Starship launch in 2028 and scaling operations by 2029.
- Starlink Mobile V2 satellites and Starmine satellites will begin flying in 2027, supported by FCC approval for 15,000 mobile V2 sats and a low-band spectrum acquisition.
- Grok Bot, an agentic assistant, launched in August and is seeing rapid adoption, with plans for enterprise deployment within weeks; a new training cluster will be online by end of Q2 2027.

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